



Zebra Technologies Fourth Quarter and Full Year 2020 Results

February 11, 2021

Safe Harbor Statement

Statements made in this presentation which are not statements of historical fact are forward-looking statements and are subject to the safe harbor provisions created by the Private Securities Litigation Reform Act of 1995. Actual results may differ from those expressed or implied in the company's forward-looking statements. Zebra may elect to update forward-looking statements but expressly disclaims any obligation to do so, even if the company's estimates change. These forward-looking statements are based on current expectations, forecasts and assumptions and are subject to the risks and uncertainties inherent in Zebra's industry, market conditions, general domestic and international economic conditions, and other factors. These factors include customer acceptance of Zebra's hardware and software products and competitors' product offerings, and the potential effects of technological changes. The continued uncertainty over future global economic conditions, the availability of credit and capital markets volatility may have adverse effects on Zebra, its suppliers and its customers. In addition, a disruption in our ability to obtain products from vendors as a result of supply chain constraints, natural disasters, public health issues (including pandemics), or other circumstances could restrict sales and negatively affect customer relationships. Profits and profitability will be affected by Zebra's ability to control manufacturing and operating costs. Foreign exchange rates will have an effect on financial results because of the large percentage of our international sales. The outcome of litigation in which Zebra may be involved is another factor. The success of integrating acquisitions could also affect profitability, reported results and the company's competitive position in its industry. These and other factors could have an adverse effect on Zebra's sales, gross profit margins and results of operations. Descriptions of the risks, uncertainties and other factors that could affect the company's future operations and results can be found in Zebra's filings with the Securities and Exchange Commission. In particular, please refer to Zebra's latest filing of its Form 10-K and Form 10-Q. This presentation includes certain non-GAAP financial measures and we refer to the reconciliations to the comparable GAAP financial measures and related information.

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Anders Gustafsson, CEO

Nathan Winters, CFO

Joe Heel, SVP Global Sales



Exceptional Finish to a Challenging Year

4Q20

+10.2%

ADJUSTED NET
SALES GROWTH

+8.3%⁽¹⁾ Organic

23.5%

ADJUSTED
EBITDA MARGIN

+210bps YoY

\$4.46

NON-GAAP
DILUTED EPS

+25% YoY

FY20

(0.7)%

ADJUSTED NET
SALES GROWTH

(0.9)%⁽¹⁾ Organic

20.5%

ADJUSTED
EBITDA MARGIN

(110)bps YoY

\$12.80

NON-GAAP
DILUTED EPS

(1.1)% YoY

\$895M

FREE CASH
FLOW

Exceptional Cash
Conversion

⁽¹⁾ Assumes constant FX to prior year period and excludes revenue from acquisitions for the 12 months following each respective acquisition date

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Fourth Quarter P&L Summary⁽¹⁾

In millions, except per share data	4Q20	4Q19	Change
Adjusted Net Sales	\$1,313	\$1,192	10.2%
Organic Net Sales Growth ^(2,3)			8.3%
Adjusted Gross Profit	\$628	\$546	15.0%
Adjusted Gross Margin	47.8%	45.8%	200 bps
Adjusted Operating Expenses	\$336	\$308	9.1%
Adjusted EBITDA	\$308	\$255	20.8%
Adjusted EBITDA Margin	23.5%	21.4%	210 bps
Non-GAAP Diluted EPS	\$4.46	\$3.56	25.3%

SEGMENT ORGANIC SALES GROWTH^(2,3)

- EVM Segment +5.6%
- AIT Segment +14.0%

REGIONAL ORGANIC SALES GROWTH^(2,3)

- North America +6%
- EMEA +20%
- Asia Pacific (4)%
- Latin America (15)%

STRONG EBITDA & EPS IMPROVEMENT

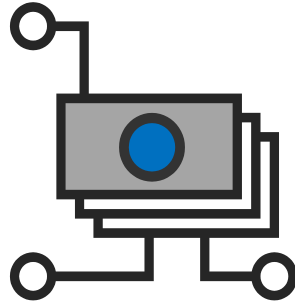
- Higher gross margin primarily due to \$12M China tariff recovery and improved services & software margin
- Operating expense leverage
- Lower interest costs and share count, partially offset by higher tax

⁽¹⁾ Refer to the appendix of this presentation for reconciliations of GAAP to non-GAAP financial results

⁽²⁾ Assumes constant FX to prior-year period

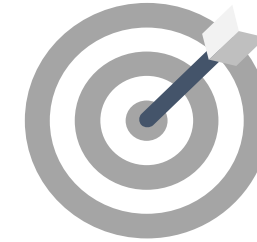
⁽³⁾ Excludes revenue from acquisitions for the 12 months following each respective acquisition date

2020 Cash Flow & Balance Sheet Highlights



FY20 Cash Flow

- \$895M free cash flow FY20
 - \$271M higher free cash flow YoY
 - Exceptionally high free cash flow conversion
 - Timing of customer collections and vendor payments
 - Lower cash payments for incentive compensation, taxes, and interest
- \$548M acquisition of Reflexis Systems and \$32M of venture investments
- \$200M of share repurchases (all in Q1)
- Net debt repayments of \$40M



Strong Liquidity Position YE 2020

- \$168M in cash & cash equivalents
- \$1.25B total debt on balance sheet
- Nearly \$1B capacity under revolving credit facility
- Net-debt-to-adjusted-EBITDA ratio of 1.2x (Target maximum 2.5x)

Outlook & Assumptions ⁽¹⁾

1Q21

- Expect 25-29% adjusted net sales growth YoY
 - ~ 300-350 basis point additive impact from recently acquired business ⁽¹⁾ and FX
- Adj. EBITDA margin slightly higher than 23%
- Non-GAAP diluted EPS range \$4.30 to \$4.50
- ~ \$10M negative gross profit impact from premium freight

FY21

- Expect 10-14% adjusted net sales growth YoY
 - ~ 3 percentage point additive impact from recently acquired business⁽¹⁾ and FX
- Adjusted EBITDA margin ~ 21-22%
- Free cash flow ≥ \$700M
- Capital expenditures ~ \$70-80M
- Depreciation ~ \$65-75M and Amortization ~ \$100-105M
- Stock-based compensation expense ~ \$65-75M
- Cost of debt (pre-tax) ~ 3%
- Non-GAAP tax rate ~ 17-18%
- ~ \$30-40M negative gross profit impact from premium freight

⁽¹⁾ Refers to impact to growth rate for the 12 months following acquisition date; Reflexis Systems, Inc. was acquired September 1, 2020

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Elevating Our Value Proposition

Focused on Scaling Solutions that Drive Actionable Insights

CUSTOMER
BENEFIT

End-To-End Workflow Optimization



INTELLIGENT
EDGE SOLUTIONS

Zebra **Savanna**™

Zebra **MotionWorks**®

Powered by Zebra Savanna™

REFLEXIS™
Workforce/Task Management

Zebra **Workforce Connect**™

Powered by Zebra Savanna™

Zebra **Data Services**

Zebra **SmartLens**®

Powered by Zebra Savanna™

Zebra **Prescriptive Analytics**™

Powered by Zebra Savanna™

Zebra **SmartCount**™

Zebra **VisibilityIQ**®

Powered by Zebra Savanna™

Zebra **SmartSight**™

Zebra **FulfillmentEdge**™

Powered by Zebra Savanna™

Zebra **SmartPack**™

Powered by Zebra Savanna™

ENABLING
TECHNOLOGIES

Computer Vision

Machine Learning

Artificial
Intelligence

Intelligent Automation & Collaboration

STRATEGIC
FRAMEWORK



SENSE



ANALYZE



ACT

Enabling Retail Transformation

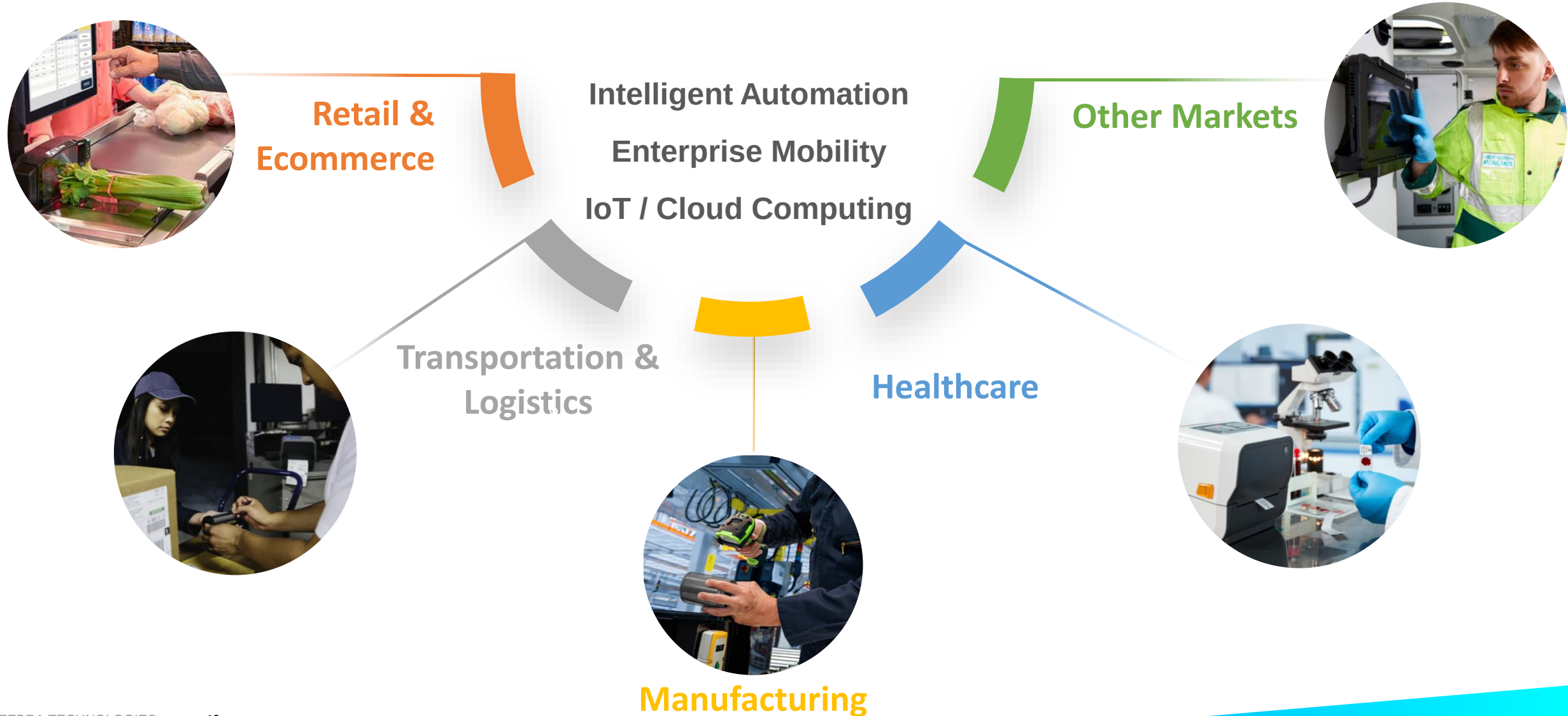
Zebra Solutions Help Deliver a Superior Omnichannel Shopping Experience

- ✓ Better **Visibility & Insights**
- ✓ Increase **Employee Collaboration** and Labor Productivity
- ✓ Improve **Inventory Accuracy** and Availability
- ✓ **Loss Prevention**



- ✓ Give Associates **Information They Need To** Help the Shopper
- ✓ **Empower the Customer to** Shop the Way They Want
- ✓ Faster **Checkout**

Zebra Optimizes Workflows for the On-Demand Economy



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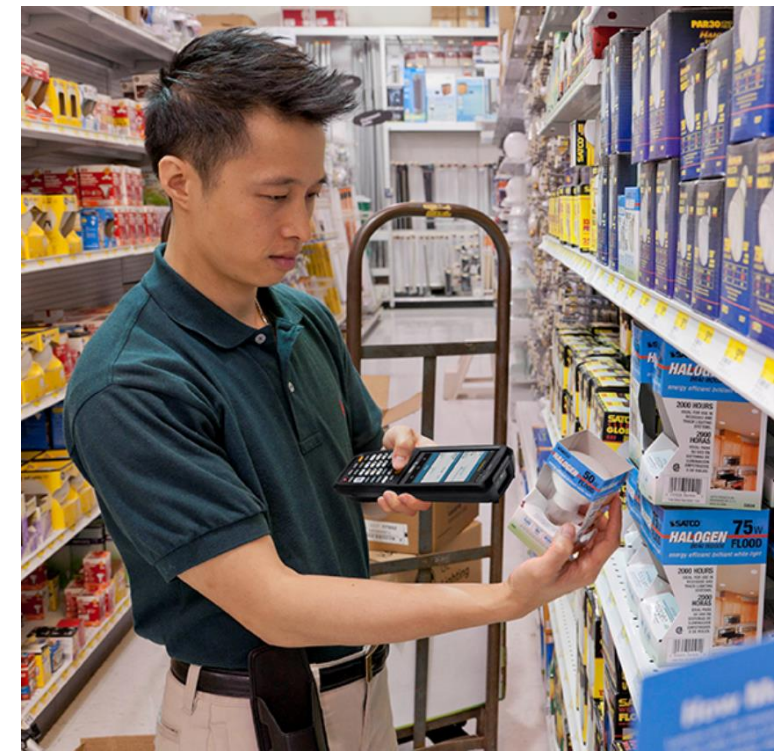
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Q&A



Appendix

Use of Non-GAAP Financial Information

This earnings release contains certain Non-GAAP financial measures, consisting of “adjusted net sales,” “adjusted gross profit,” “EBITDA,” “Adjusted EBITDA,” “Non-GAAP net income,” “Non-GAAP earnings per share,” “free cash flow,” “organic net sales growth,” and “adjusted operating expenses.” Management presents these measures to focus on the on-going operations and believes it is useful to investors because they enable them to perform meaningful comparisons of past and present operating results. The company believes it is useful to present Non-GAAP financial measures, which exclude certain significant items, as a means to understand the performance of its ongoing operations and how management views the business. Please see the “Reconciliation of GAAP to Non-GAAP Financial Measures” tables and accompanying disclosures at the end of this press release for more detailed information regarding non-GAAP financial measures herein, including the items reflected in adjusted net earnings calculations. These measures, however, should not be construed as an alternative to any other measure of performance determined in accordance with GAAP.

The company does not provide a reconciliation for non-GAAP estimates on a forward-looking basis (including the information under “Outlook” above) where it is unable to provide a meaningful or accurate calculation or estimation of reconciling items and the information is not available without unreasonable effort. This is due to the inherent difficulty of forecasting the timing or amount of various items that have not yet occurred, are out of the company’s control and/or cannot be reasonably predicted, and that would impact diluted net earnings per share, the most directly comparable forward-looking GAAP financial measure. For the same reasons, the company is unable to address the probable significance of the unavailable information. Forward-looking non-GAAP financial measures provided without the most directly comparable GAAP financial measures may vary materially from the corresponding GAAP financial measures.

As a global company, Zebra’s operating results reported in U.S. dollars are affected by foreign currency exchange rate fluctuations because the underlying foreign currencies in which the company transacts change in value over time compared to the U.S. dollar; accordingly, the company presents certain organic growth financial information, which includes impacts of foreign currency translation, to provide a framework to assess how the company’s businesses performed excluding the impact of foreign currency exchange rate fluctuations. Foreign currency impact represents the difference in results that are attributable to fluctuations in the currency exchange rates used to convert the results for businesses where the functional currency is not the U.S. dollar. This impact is calculated by translating, for certain currencies, current period results at the currency exchange rates used in the comparable period in the prior year, rather than the exchange rates in effect during the current period. In addition, the company excludes the impact of its foreign currency hedging program in the prior year period. The company believes these measures should be considered a supplement to and not in lieu of the company’s performance measures calculated in accordance with GAAP.

GAAP to Non-GAAP Organic Net Sales Growth Reconciliation (Unaudited)

	Three Months Ended		
	December 31, 2020		
	AIT	EVM	Consolidated
Reported GAAP Consolidated Net sales growth	14.5 %	8.1 %	9.7 %
Adjustments:			
Impact of foreign currency translations ⁽¹⁾	(0.5)%	(0.1)%	(0.2)%
Impact of acquisitions ⁽²⁾	— %	(2.4)%	(1.2)%
Consolidated Organic Net sales growth ⁽³⁾	14.0 %	5.6 %	8.3 %

	Twelve Months Ended		
	December 31, 2020		
	AIT	EVM	Consolidated
Reported GAAP Consolidated Net sales growth	(3.6)%	0.8 %	(0.8)%
Adjustments:			
Impact of foreign currency translations ⁽¹⁾	0.4 %	0.7 %	0.6 %
Impact of acquisitions ⁽²⁾	(0.5)%	(1.0)%	(0.7)%
Consolidated Organic Net sales growth ⁽³⁾	(3.7)%	0.5 %	(0.9)%

- (1) Operating results reported in U.S. Dollars are affected by foreign currency exchange rate fluctuations. Foreign currency translation impact represents the difference in results that are attributable to fluctuations in the currency exchange rates used to convert the results for businesses where the functional currency is not the U.S. Dollar. This impact is calculated by translating the current period results at the currency exchange rates used in the comparable prior year period, inclusive of the Company's foreign currency hedging program.
- (2) For purposes of computing Organic Net sales growth, amounts directly attributable to business acquisitions are excluded for twelve months following their respective acquisition dates. Consolidated results include the impact of purchase accounting adjustments.

GAAP to Non-GAAP Gross Margin Reconciliation (In millions) (Unaudited)

	Three Months Ended					
	December 31, 2020			December 31, 2019		
	AIT	EVM	Consolidated	AIT	EVM	Consolidated
<u>GAAP</u>						
Reported Net sales ⁽¹⁾	\$ 434	\$ 879	\$ 1,308	\$ 379	\$ 813	\$ 1,192
Reported Gross profit ⁽¹⁾	208	417	618	183	362	544
Gross Margin	47.9 %	47.4 %	47.2 %	48.3 %	44.5 %	45.6 %

<u>Non-GAAP</u>						
Adjusted Net sales	\$ 434	\$ 879	\$ 1,313	\$ 379	\$ 813	\$ 1,192
Adjusted Gross profit ⁽²⁾	209	419	628	183	363	546
Adjusted Gross Margin	48.2 %	47.7 %	47.8 %	48.3 %	44.6 %	45.8 %

	Twelve Months Ended					
	December 31, 2020			December 31, 2019		
	AIT	EVM	Consolidated	AIT	EVM	Consolidated
<u>GAAP</u>						
Reported Net sales ⁽¹⁾	\$ 1,426	\$ 3,029	\$ 4,448	\$ 1,479	\$ 3,006	\$ 4,485
Reported Gross profit ⁽¹⁾	674	1,342	2,003	736	1,371	2,100
Gross Margin	47.3%	44.3 %	45.0 %	49.8 %	45.6 %	46.8 %

<u>Non-GAAP</u>						
Adjusted Net sales	\$ 1,426	\$ 3,029	\$ 4,455	\$ 1,479	\$ 3,006	\$ 4,485
Adjusted Gross profit ⁽²⁾	676	1,346	2,022	737	1,374	2,111
Adjusted Gross Margin	47.4%	44.4 %	45.4 %	49.8 %	45.7 %	47.1 %

(1) Consolidated results include corporate eliminations related to business acquisitions that are not reported in segment results.

(2) Adjusted Gross profit excludes purchase accounting adjustments, share-based compensation expense, and product sourcing diversification costs.

GAAP to Non-GAAP Net Income Reconciliation

(In millions, except share data)
(Unaudited)

	Three Months Ended		Twelve Months Ended	
	December 31, 2020	December 31, 2019	December 31, 2020	December 31, 2019
Net income	\$ 199	\$ 169	\$ 504	\$ 544
Adjustments to Net sales ⁽¹⁾				
Purchase accounting adjustments	5	—	7	—
Total adjustments to Net sales	<u>5</u>	<u>—</u>	<u>7</u>	<u>—</u>
Adjustments to Cost of sales ⁽¹⁾				
Purchase accounting adjustments	—	—	—	6
Share-based compensation	3	1	6	4
Product sourcing diversification initiative	2	1	6	1
Total adjustments to Cost of sales	<u>5</u>	<u>2</u>	<u>12</u>	<u>11</u>
Adjustments to Operating expenses ⁽¹⁾				
Amortization of intangible assets	26	19	78	103
Acquisition and integration costs	2	2	23	22
Share-based compensation	18	16	53	56
Exit and restructuring costs	4	8	11	10
Product sourcing diversification initiative	1	3	12	4
Total adjustments to Operating expenses	<u>51</u>	<u>48</u>	<u>177</u>	<u>195</u>
Adjustments to Other expenses, net ⁽¹⁾				
Debt extinguishment costs	—	—	—	3
Amortization of debt issuance costs and discounts	1	1	3	7
Investment loss (gain)	3	—	(5)	(3)
Foreign exchange loss	3	4	18	6
Forward interest rate swaps loss (gain)	—	(8)	46	19
Total adjustments to Other expenses, net	<u>7</u>	<u>(3)</u>	<u>62</u>	<u>32</u>
Income tax effect of adjustments ⁽²⁾				
Reported income tax expense	17	10	56	54
Adjusted income tax	(44)	(32)	(128)	(130)
Total adjustments to income tax	<u>(27)</u>	<u>(22)</u>	<u>(72)</u>	<u>(76)</u>
Total adjustments	<u>41</u>	<u>25</u>	<u>186</u>	<u>162</u>
Non-GAAP Net income	<u>\$ 240</u>	<u>\$ 194</u>	<u>\$ 690</u>	<u>\$ 706</u>
GAAP earnings per share				
Basic	\$ 3.73	\$ 3.13	\$ 9.43	\$ 10.08
Diluted	\$ 3.70	\$ 3.10	\$ 9.35	\$ 9.97
Non-GAAP earnings per share				
Basic	\$ 4.50	\$ 3.60	\$ 12.91	\$ 13.08
Diluted	\$ 4.46	\$ 3.56	\$ 12.80	\$ 12.94
Basic weighted average shares outstanding				
	53,356,857	53,985,729	53,441,375	53,991,249
Diluted weighted average and equivalent shares outstanding				
	53,783,654	54,541,638	53,913,245	54,594,417

(1) Presented on a pre-tax basis.

(2) Represents the adjustment to the GAAP income tax expense commensurate with non-GAAP adjustments (including the resulting impacts to U.S. BEAT/GILTI provisions) and to exclude the impacts of certain discrete income tax items.

GAAP to Non-GAAP EBITDA Reconciliation

(In millions)
(Unaudited)

	Three Months Ended		Twelve Months Ended	
	December 31, 2020	December 31, 2019	December 31, 2020	December 31, 2019
Net income	\$ 199	\$ 169	\$ 504	\$ 544
Add back:				
Depreciation (excluding exit and restructuring costs)	16	17	67	72
Amortization of intangible assets	26	19	78	103
Total Other expenses, net	15	9	91	94
Income tax expense	17	10	56	54
EBITDA (Non-GAAP)	273	224	796	867
Adjustments to Net sales				
Purchase accounting adjustments	5	—	7	—
Total adjustments to Net sales	5	—	7	—
Adjustments to Cost of sales				
Purchase accounting adjustments	—	—	—	6
Share-based compensation	3	1	6	4
Product sourcing diversification initiative	2	1	6	1
Total adjustments to Cost of sales	5	2	12	11
Adjustments to Operating expenses				
Acquisition and integration costs	2	2	23	22
Share-based compensation	18	16	53	56
Exit and restructuring costs	4	8	11	10
Product sourcing diversification initiative	1	3	12	4
Total adjustments to Operating expenses	25	29	99	92
Total adjustments to EBITDA	35	31	118	103
Adjusted EBITDA (Non-GAAP)	\$ 308	\$ 255	\$ 914	\$ 970
Adjusted EBITDA % of Adjusted Net Sales	23.5 %	21.4 %	20.5 %	21.6 %

GAAP to Non-GAAP Free Cash Flow Reconciliation

(In millions)
(Unaudited)

	Twelve Months Ended	
	December 31, 2020	December 31, 2019
Net cash provided by operating activities	\$ 962	\$ 685
Less: Purchases of property, plant and equipment	(67)	(61)
Free cash flow (Non-GAAP) ⁽¹⁾	\$ 895	\$ 624

⁽¹⁾ Free cash flow is defined as Net cash provided by operating activities in a period minus purchases of property, plant and equipment (capital expenditures) made in that period. This measure does not represent residual cash flows available for discretionary expenditures as the measure does not deduct the payments required for debt service and other contractual obligations or payments for future business acquisitions. Therefore, we believe it is important to view free cash flow as a measure that provides supplemental information to our entire statements of cash flows.